The Parol Evidence Rule

English contract law | Study guide | Written agreements and extrinsic evidence

1. When the writing records the whole agreement

If the parties intended a document or set of documents to contain all their express terms, extrinsic evidence is generally inadmissible when offered solely to add to, vary or contradict those terms. The label *parol evidence* covers material outside the final written record, including earlier emails and drafts as well as oral statements.

A detailed signed agreement is strong evidence of completeness. Whether it is complete is itself a question for the court, which can consider relevant material outside the document. The agreement may consist of written and oral terms.

> Ask what the evidence is offered to prove. Evidence that the document records only part of the agreement serves a different purpose from an attempt to change the terms of a complete written agreement.

2. Interpreting the words the parties used

For interpretation, the court may consider relevant objective background reasonably available to both parties. Evidence of what the parties said or did in negotiations is generally excluded when offered to infer the meaning of the final wording, as *Chartbrook* confirms.

An *entire agreement clause* can reinforce the conclusion that the writing contains the parties' agreed terms and can exclude reliance on earlier collateral promises as terms. Its effect depends on its wording. Excluding liability for misrepresentation is a distinct question.

3. J Evans and the promise to carry below deck

J Evans & Son (Portsmouth) Ltd v Andrea Merzario Ltd [1976] 1 WLR 1078

A freight forwarder persuaded Evans to use container shipping by promising orally that the goods would be stowed below deck. A container holding machinery was carried on deck and lost overboard. The forwarder relied on written standard terms limiting liability.

The Court of Appeal held the promise binding. Roskill LJ treated the agreement as partly oral and partly written. Lord Denning MR treated the assurance as a collateral undertaking. The standard terms did not protect the forwarder against liability for breaking that specific promise.

When Other Evidence Matters

1. Three purposes for using extrinsic evidence

Proving a custom. In *Hutton v Warren*, evidence of local agricultural custom supported an implied allowance for an outgoing tenant's seed and labour. The custom filled a gap and was consistent with the express lease terms.

Seeking rectification. In a claim based on common mistake, earlier communications may show an outwardly expressed common intention that continued at signing but that the document failed to record. Rectification, if granted, corrects the document.

Proving a condition for the contract to take effect. In *Pym v Campbell*, oral evidence showed that the signed agreement was to take effect only if a designated engineer approved the invention. The evidence went to whether the agreement had become binding.

2. Apply the rule to a service contract

A maintenance agreement sets the monthly fee and service levels, but says nothing about its duration. Before signature, both parties wrote that they agreed to a twelve-month term. The customer says the emails establish a minimum commitment.

> The court first asks whether the signed document was intended to be complete. If it was only a partial record, the emails may establish the separately agreed duration. If it was intended to contain all express terms, the emails generally cannot add a term. Silence about duration is one fact to assess alongside the wording, any entire agreement clause and the surrounding evidence.

Selected authorities

Royal National Lifeboat Institution v Bushaway UKEAT/0719/04 (22 April 2005), [23]-[24]
J Evans & Son (Portsmouth) Ltd v Andrea Merzario Ltd [1976] 1 WLR 1078
Chartbrook Ltd v Persimmon Homes Ltd [2009] UKHL 38, [28]-[48]
AXA Sun Life Services plc v Campbell Martin Ltd [2011] EWCA Civ 133
Hutton v Warren (1836) 1 M & W 466
FSHC Group Holdings Ltd v GLAS Trust Corporation Ltd [2019] EWCA Civ 1361
Pym v Campbell (1856) 6 E & B 370